

The Social Radars

S3: Eddy Lu, Co-founder & CEO of GOAT

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Jessica: I'm Jessica Livingston, andCarolynn Levy and I are the social radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories. Carolynn, today we have a very exciting guest. I'm excited because I have not seen this guest in, I think more than a decade, Eddy Lu, who is the founder of GOAT, which went through YC, and we'll learn more about this later with a different company in winter 2011. Welcome Eddy.

Eddy: Thanks, Jessica. Hey, Carolynn. Great to be here.

Carolynn: Hey.

Jessica: It is so nice to see you. After so many years, I'm going to start to cry. I am going to get a little more emotional than usual because I mean, Carolynn, you're laughing, but it's been over a decade.

Carolynn: I Know. I actually had no idea it had it been that long since you guys had seen.

Eddy: And it's been such a wild journey for all of us ever since.

Jessica: I know, and I am really excited to hear about your journey because I feel like I don't know it as in-depth as I'd like to, but we're going back to cream puffs with you today Eddy. That's where I want to start.

Eddy: Let's do it.

Jessica: Because Carolynn, you weren't working at Y Combinator back in winter 11, but one of the things that we loved about them on their application was that Eddy and Daishin, his co-founder, had started a cream puff company, right?

Eddy: Unfortunately, yes, we'll talk about it, but unfortunately, yes.

Jessica: But that appealed to us. We thought that was really cool. So tell us about the cream puff company as the segue to how you applied to YC.

Eddy: So Daishin started working together in 2007. We just wanted to start a business together. The word startup didn't even exist back then. We were roommates at the time. I was working at Lehman Brothers when it existed. I was in LA and he was working at a car startup called Edmunds.com. And we just weren't passionate about our day jobs. So we're just like, while we're young, let's just quit and start a company together. So we quit

cold Turkey on the same exact day from work, not knowing what we were going to do, but typically-

Jessica: Had you planned the same exact day?

Eddy: Yes. We said, Hey, let's just quit on this day and figure it out. So we quit and we started just trying to do random businesses. We day traded, we did import export, we tried to create a golf apparel company. We did a whole bunch of things. The one thing that came about was that the iPhone actually released right around that time. And I was a computer science major, I knew how to code and Daishin was really into brand design. And he started to play with the iPhone and he was just like, wow, this is amazing. And me coming from a banking background, I was like, no, the Blackberry is it. A physical keyboard is where it's going to be. But we honestly had typing competitions in our apartment and he convinced me that the iPhone was going to be the next thing. So we actually started to build some of the very first iPhone apps in existence, and not sure if you remember back then, but it was just a whole bunch of low quality iPhone apps that were 99 cents that people would just buy.

So we created a whole bunch of those just like to-do lists, joke of the day apps. We created an Earth Day app, some games, and that's kind of how we made our living back then. And as we started to keep doing this, we were just like, Hey, wouldn't it be nice to create some passive income? So we said there's this franchise that has this cream puff, there's lines out the door for some of these franchises. Why don't we just open up a cream puff shop and have a manager run it so we can make passive income while we're starting our own businesses.

Jessica: As an investment?

Eddy: As an investment.

Jessica: Oh God.

Eddy: So we opened up a total of four stores throughout the next couple of years. The only problem was, I mean, we were a first time business owner, so the 2008 financial crisis hit and it went from a passive income investment to a very, very active investment because we couldn't afford to have that many employees. We couldn't afford to hire a manager, so we had to let people go. And we operated the stores by ourselves and it was a huge learning lesson. We were over leveraged because we took a lot of debt to open up these stores. So we were in a lot of debt.

We had to run the stores ourselves and honestly, we were coding in between customers. So we would make a customer's cream puffs, make the cream puff custard, all that stuff. And in between we would just be coding just to continue to work on our projects while we had to man the store. So one of those stores was in Chicago that we opened. And so well, we started Grub with Us, which was the company we applied to Y Combinator with. And Grub with Us came about because when we went to Chicago to open the store, we realized it was so hard to meet new people when you're post-college, you're in a new

city, it's hard to go up to a random do it at Bar and be like, Hey, do you want to be my friend? So we thought, let's create these group dinners where you've bought an individual ticket to go eat with other people at restaurants around your city. And so that's how Grub with Us was born. And do you want me to tell the whole story about the YC application process and all that? I'm happy to.

Jessica: Well, first of all, I'm hung up on something. You had to be convinced that the iPhone was better than the BlackBerry.

Eddy: If you remember back in the day, I mean the BlackBerry was it.

Jessica: I remember.

Carolynn: Reigns

Eddy: It was the rage. And as a banker, I had two BlackBerries. I had my personal and my work BlackBerry, and that's all I knew. And it was just so convenient. And so when someone comes out with a digital keyboard, you're just like, there's no way that could be faster than me clicking buttons and typing. I was wrong. I have to admit Daishin was right for once, but I was wrong.

Carolynn: Getting Apple to approve all your little 99 cent apps must have been way different back then too.

Eddy: It was a lot simpler of a process for sure.

Jessica: Is there an interesting story about your application to YC?

Eddy: There's so much behind y Combinator. I mean, it was such a formidable experience, so thank you Jessica for creating it by the way. But yeah, so it was actually our third or fourth time applying to YC to be honest, it wasn't our first, and I'm not sure if you remember, but we were just like, we have to hack the system somehow. And so what we did was before our Y Combinator interview, we asked a bunch of existing Y Combinator founders if they would host Grub with Us dinners on our site. pre-YC interview Grub with Us, so that they would be kind of the main person at these dinners and other YC hopefuls would come and eat with them to get advice and tips and such.

Jessica: Right before the interviews, right?

Eddy: Before the interview process.

Jessica: Okay, that's very smart.

Eddy: We did this. We hosted 20 Y Combinator dinners before the interview process. They got a lot of attention, and we kind of became known within YC as `these guys that hosted these dinners on this platform. And so we tried to find every which way we could to get in. I remember even in our application video, we were in Chicago and the main message

we were trying to get out was, Hey, Chicago is really cold. We would love to come to San Francisco for three months. Please get us out of here in the winter.

Jessica: Oh my God.

Eddy: Thankfully you guys did, but it was such an amazing process, but it was our, I think, fourth time applying. And so we were like, let's find a way to be scrappy to really hack the system so that they actually know who we are.

Jessica: Well, it's funny that you bring up Scrappy because when I think back on you and I have vivid memories of Grub with Us, but overall the image is scrappy. You guys were scrappy, and that's the best way to describe you. I remember you would just make stuff happen.

Eddy: So I would say our batch was the last pure and poor batch at Y Combinator, and we got \$27,000 and it was in the middle of the batch when we got called and they were like, Hey, everyone come to YC for a special announcement. And we got there, and I vividly remember this so much. You're talking about crying. I didn't cry with the birth of my two sons, but I kind of cried on this day. But we got there again, we were in so much debt from our cream puff stores and just previous start adventures, we got 27K for joining YC.

We got there and I remember Yuri Milner walking out and he looked at us, he was like, who are all these poor people standing in front of me? Just hungry entrepreneurs. And then Ron Conway came in on the iPad robot.

Carolynn: Oh yes. I was just going to say that there's a robot.

Jessica: This story has not been told on the podcast though.

Eddy: No way.

Jessica: So keep telling the story.

Eddy: So Yuri Miller comes out and he's just looking at us and we're like, we're not sure who this guy is, but he looks important. And then Ron Conway rolls up in the iPad robot, his face just appears on the screen and he's like, "Everyone, we're going to give you \$125,000 for each company. No strings attached." And all of us went crazy. I mean, I don't know if you remember the room, Jessica, but-

Jessica: I was going crazy,

Eddy: ...the room went crazy. Everyone was like-

Jessica: It was an Oprah moment.

Eddy: This is amazing. All of us had just a tiny bit of cash to go through this program, but thinking about 4X ing, the amount of money you got as a startup, it was crazy, right?

Jessica: But what I loved about it was for every one of you, it wasn't like only the good ones or whatever it was every single one of you, no strings attached. I remember I was personally jumping up and down with excitement because I was so happy for you guys because that was so much money back at the time.

Eddy: It was. I mean, we were high-fiving every single person in the room. It was Oprah's Christmas. it honestly was.

Jessica: Now if you look at that batch list, Carolyn, you'll know who's at the Tippity top.

Carolynn: Oh, it's GOAT Group.

Jessica: GOAT Group. You're doing the best in your batch. Although this is a great batch. There's so many great companies in here.

Eddy: Honestly, when we started the batch, there was one thing we really noticed. It was that we weren't the smartest people in the room. I mean, there was the co-creator of Django in the room. There were tech luminaries that were part of the batch and Daishin and I, we honestly, from day one, we knew we were just like, Hey, we're honestly not the smartest people here, but let's work the hardest. And we made that our mission. Speaking of being scrappy, we didn't have an apartment or a place to officially stay when we were in the three-month program because again, we didn't have much money. We needed that 27K just to do other things and operate. So we just bummed off of our friends and people we knew to stay for weeks at a time. So for example, we would stay for a week at my friend Alan's house in San Francisco.

He went to Berkeley with me. My girlfriend at the time had a friend who was living in San Jose. We would bum at her place for a week at a time. It's funny, I just remembered this. Gary Tan, president of Y Combinator, we slept on his floor for three days during Y Combinator. He cooked us breakfast. He had so much pity on us, so it was just so wild back then we did not have a place to stay. And when we said, Hey, we're going to work the hardest in the batch, we literally did. So when we were staying in San Francisco, we would go to the 24 hour Starbucks on California and work till five in the morning and go home. It was just such a crazy experience going through the program.

Jessica: That's pushing the envelope Eddy to not have a place to live during YC, don't you think, Carolyn?

Carolynn: Yeah,

Jessica: It's super grim.

Eddy: But we made it work. And honestly, it was fun. We got to see all these people. We got to see a bunch of old friends and stay there for a little bit and reconnect. So it actually turned out for the best.

Jessica: So I remember Grub with Us very much because first of all, I love the idea. You guys described it as: make new friends, no strings attached. And I like that idea. But what I also loved about it, it was like a Trojan horse for dating in a way. Some people, I'm sure, wound up dating.

Eddy: People got married with Grub with Us.

Jessica: Really?

Carolynn: Really? That's pretty cool.

Jessica: Never having met before the dinner? They met at the dinner?

Eddy: Yep. Never having met. Lifelong friends, people dated. People still come up to me and say, "Hey, I went to some of your Grub with Us meals." So it was fun.

Jessica: Do you remember that I hosted a handful of Grub with Us dinners for female founders because I thought it was a great idea to bring them together and they could meet each other, plus we could promote Grub with Us. So I remember we did four or something, and for each one I invited a couple of our most successful founders, like Drew Houston was there, I think Steve Huffman of Reddit and probably Brian Chesky and that kind of thing. Do you remember those dinners?

Eddy: I a hundred percent do.

Jessica: And do you remember there was one that was a little scandalous because one of the women wrote this nasty blog post saying... Because I didn't show up to one of them. And so there was no actual Y Combinator female there. And she found it so misogynistic that we had YC alumni who are men. And I dug up this email that I had with you guys that I said, I have a plan. Grubs, let's huddle tomorrow. I used to call you guys the Grubs.

Eddy: Yup. We all had nicknames, and that's about what Brian did.

Jessica: But I feel like usually it's like Grub with Us or we'd say, but you were just Grubs. But I absolutely loved your idea. Tell us why it didn't work.

Eddy: A host of reasons why it didn't work. So Grub with Us was a marketplace. We had to connect people who were the buyers with these meals, these events. That was kind of the selling platform plus the restaurants hosting these events. And we've learned a lot in terms of what makes a marketplace tick. And we've taken those marketplace dynamics and lessons and taken them to GOAT. And that's why I think GOAT's been a much more successful marketplace. So what we learned is just like friction kills marketplaces, right? You're matching buyer with seller. And if there's a lot of friction in a marketplace, it just won't work. And what we found with Grub with Us is, let's say I was hosting a sneaker dinner and it was just, "Hey, anyone who's interested in sneakers, why don't you come join?" The friction points are as an individual, you're looking at the dinner, it was a prefix meal for however much money.

What if it's, Hey, I'm vegan. There's no vegan options. The restaurant's too far. Oh, I can't make that date. What if I'm the only person that shows up? What if I don't like anyone who shows up, Hey, I see this person that's signed up already. I really don't like that person. There's just 20 things you're thinking about when you're trying to sign up for a meal. So many friction points that caused the person to be like, you know what? I'll just wait for the next one, or maybe I just won't go this time. The biggest one was, I'm too scared to go to a meal by myself. And there's social anxiety with putting yourself out there. And so I think all those points of friction were just blockers and we threw everything we had at it. Similar to the Hotel Tonight model, we created an app called Grub Tonight, which we were like, okay, we hear everyone.

Why don't we do same day dinners. In the morning? We post up the meals so that you know you're free. We're going to have vegetarian options, it's going to be prefixed. You're just going to sign up if you're free that night and we're going to match you with people. And still the social anxiety and other factors just weren't, we weren't able to overcome that. So when we built GOAT, we made sure to say, Hey, let's be as efficient as possible, remove all the barriers to purchasing so that we can have a very liquid marketplace to combine buyers and sellers.

Jessica: Yeah, marketplaces are hard. I don't think I realized till I started thinking about GOAT that you learned a lot of important things about a marketplace with Grub with Us that you were able to then translate to GOAT. I have a couple more things I want to ask about Grub with Us though. Well, one, I remember another story that came to mind. It was at demo day, and do you remember Ashton Kutcher and Gaio Siri had a fund that they invested from and they were at demo day. And I never usually tell investors which are my favorites, but I think we were talking about good companies in the batch that we're presenting. And I remember saying to them, Grub with Us is going to be huge. They give me an Airbnb vibe. Please tell me they invested in you.

Eddy: They 100% invested in it.

Jessica: Okay, good. Okay. I thought they had.

Carolynn: That's nice.

Jessica: But I usually don't tell investors stuff like that. But I remember to those guys I did. I said, "They remind me so much of the Airbnbs, and I think this company's going to be huge." Little did I know that you guys as founders would be huge, but Grub with Us would die, but you raised 7 million bucks or something. Will you talk about how the pivot came about?

Eddy: Yeah, so it's the same corporate entity. So obviously Y Combinator is still an investor in us. Ashton Kutcher is still an investor in us. Like I mentioned, we threw everything we had at the problem, and we just knew we couldn't get to product market fit. And a lot of founders think they have product market fit, and we tried to convince ourselves for a while that we had product market fit, but we just never did because obviously when we did go, we really knew we had a product market fit at this one inflection point. But in

terms of Grub with Us, we just never got there because of all the friction points. And so we decided we had to pivot and we pivoted, actually, a couple times.

But when we finally decided to pivot to go, I actually emailed most of our major investors, people that followed on in Series A and some of the bigger seed investors and told them, "Hey, I know you invested in a restaurant social dining startup, we're pivoting into sneakers. If anybody wants their money back, please let me know. I mean, it's pennies on the dollar now, but let me know." And what's amazing was that every single investor passed. I still remember an email from First Round Capital when I sent this email to them and they were just like, "Hey, honestly, the money is worth a lot more to you than it is to us at this point. Good luck. Go for it."

Carolynn: Oh, that's so nice.

Eddy: So every investor still believed in us for whatever reason, and we started to go and thankfully everyone stayed on board so that we could really realize something for their investment.

Jessica: I want to highlight that story because it's so wonderful and it gives me hope for investors in Silicon Valley. Carolynn, don't you agree? There's some investors that are just so cutthroat about their money, and even if they were getting pennies back on the dollar, they'd want it. But these investors said, no, keep it. And now look what happens.

Carolynn: Yeah, exactly. It's amazing.

Jessica: Okay, so you have a war chest still of at least a million bucks, right?

Eddy: We had a little over a million bucks at the time.

Jessica: Okay, that's a fine amount of money to do something with.

Carolynn: You went through YC in 2011, and then so at what point did you pivot to GOAT. I know you said you had this before, but when did you pivot to GOAT?

Jessica: In late 2014. Okay

Carolynn: So you spent three-ish years trying to get product market fit.

Jessica: Okay. I also need to mention to you how little I know about the sneaker marketplace or sneakers or anything like that. So I'm so interested to learn about this. Tell us the story.

Eddy: So my co-founder Daishin, he's as Jessica knows, he's the cool one of the two of us. He's really the design guy, the brand guy. I'm more of the tech and business finance guy. And he became a massive sneaker enthusiast when he was 10 years old. He loved playing basketball when he was 10, he got good grades at school, which was a feat for him. So his dad bought him his very first pair of Air Jordans. And Jessica, I know that's something that you're going to do for your son soon, but his dad bought him his very first pair of Air

Jordans, and instantly Daishen just started to love sneakers and Jordan basketball. Posters on his wall went from Back to the Future and Marty McFly to Michael Jordan overnight, and he's been a sneaker enthusiast ever since. So that first pair was that this colorway and pair called the Jordan 6 Great, was basically like a purplish color sneaker. They had some flames on it called the Jordan 5 Grape.

And what Nike does is they sometimes retro shoes or they re-release certain styles. And so 23 years later, after that first release of the Jordan 5 Grape, Nike decided to retro this shoe. So this was in 2013, 2014, where they retro the shoe.

Jessica: So of course, being the first pair of Jordans that Daishen never had, and being a sneaker enthusiast, he had to get this pair so nostalgic to him. So he went on the largest sneaker marketplace at the time, eBay to go buy this pair, and he knows what he's doing. He's in the sneaker game. So he looked through hundreds of sellers that were selling this shoe, looking at their photos or photo set, the comments and such. And he picked a pair and he bought them. And when he got them, he was just like, Hey, Eddy, something's not right about this shoe. And he was like, oh man, I got a fake.

How could he tell?

Eddy: Because he's just so into the market, he just knows because he's just a big sneaker dude.

Jessica: Just can tell.

Eddy: Yeah. And we have hundreds of authenticators now as part of GOAT, and there's a sixth sense. They literally look at the box and they're just, oh, something's wrong with this box. They look at the shoe, oh, instantly they know and they use all their senses. It's touch, it's sight, it's even smell because Nike, for example, has that new shoe smell that if you're using different materials from a factory that makes fakes, it's a different smell. So you'll see our authenticators touch, look, smell and everything. And so Daishen knew that it was a fake sneaker and he was trying to get his money back from eBay, but it's just such an onerous process. And so we were just like, 'Hey, how come this day and age we're spending hundreds of dollars on products online and we have to worry if it's real or fake?' And so we were just like, why don't we just create a sneaker marketplace that authenticates everything that we sell so that you and other people don't have to ever have this experience again? And that's honestly how GOAT was born.

Jessica: I'm so fascinated with authenticators. Can we dig in for one more second on them? Obviously Daishen could authenticate your first few orders, but how did you find them? You can't just put up an ad, we're hiring authenticators and how do you judge if they're good? How do you find them?

Eddy: And yeah, this job description didn't exist before us. You could not find one. And so what Daishen did is he created a test. It was a five page test about sneaker knowledge, plus being able to be very detail oriented because actually we joked about it, but the best authenticators are sneaker enthusiasts who are accountants because you have to also be very detail oriented. You can't just like sneakers. You have to know every single little

detail, the toe box patchwork, how many eyelets there are, and you be able to really be focused on that. So we created this test and we actually put it on Craigslist and we said, Hey, if you love sneakers, come work for us.

Take this test. And there was only one guy who got, I think he got a 98%. Everyone else got in the 50% or whatever. This one guy got a 98%. We brought him in, interviewed him, and we hired him, and he was our first authenticator because if you really are passionate about sneakers and you're detail oriented, we can help train you to become a strong sneaker authenticator. And Daishin and him were the first sneaker authenticators in our company, and we just built a program from there on out.

Carolynn: Are sneakers mostly made in China? Where are they mostly?

Eddy: No, all over the world. I mean, Vietnam. Now there's actually, New Balance, for example, makes a lot in the US and places like in Europe as well.

Carolynn: So these authenticators are not people who have actually been in the business. They're more like super fans and they just really learned this. Is that the right profile?

Eddy: We found them everywhere. I remember our second authenticator, he worked at a sneaker store, and so we had to hunt him down. It's funny at the time because we were trying to recruit him to join, and he was just like, "No, I have a stable job here at Finish Line or Foot Action or wherever he was." And we were just like, "No, no, no. Come trust us. This is going to be a growing startup. It's a sneaker startup." And he was like, "No, I think I'm good." After a few months he finally joined. But it was just slow going at the time because this job description didn't exist. Yeah, it was a huge risk to join us.

Jessica: Do you have to see a correct version of this, do you have to see a certain sneaker to then know if another one is fake or can you still judge a fake sneaker even if you haven't seen an actual original one of that exact same kind?

Eddy: You'll have to have some reference. And now we have a months-long training program for our new authenticators. They go through a battery of tests and we continuously audit them right throughout the experience. Now we throw fakes into our system to make sure our authenticators can keep catching the fakes because we don't want people to be complacent. But now, I mean, it's a mix of human authentication plus machine learning and AI in the background as well. So it's machine assisted, but also you can't really do olfactory smells right now, for example. So we still need the human element and human touch to authenticate. Yeah,

Jessica: And I listened to an interview with you and you said you prevented millions, 70 million inauthentic sneakers going through your site. You prevented those from being sold.

Eddy: Yeah, it's the reason why GOAT exists. I mean, fakes and counterfeits are a huge problem in the sneaker industry, and the apparel industry for that matter, because we've branched off into apparel in the past few years as well. And for us, giving them authentic products and peace of mind that we are making sure that their product is as described is

very important to us. It's part of our DNA. Daishin got a pair of fakes. That's why it's so important that people get authentic products through GOAT.

Jessica: Besides authenticity, what else was lacking in the sneaker marketplace? Did GOAT address to make the user experience better and help it become what it is today?

Eddy: So we talk about friction, and what we decided to do is when you look on eBay even today, and like I mentioned in the story earlier, when Daishin was looking for his pair of Jordan 5 Grape, he had to go through 200 sellers and go through their photo sets and look to see who shipped fast and all that stuff. He probably spent two hours to look for that one pair of sneakers for him to buy. Whereas on GOAT, for us, you don't see 200 sellers. You see one S skew page for that Jordan 5 Grape, and all the sellers are consolidated into that one skew. So let's say you're buying a size 10 of this sneaker, you'll see the lowest price seller listed, and that's the only number that you'll see. So if you like the shoe and you like the price, it'll take you five seconds to purchase something rather than two hours of searching on eBay.

And it's because we authenticate all our sneakers. You can trust that GOAT will do its job to get you exactly your shoe as described, because it's not just authentication, it's quality control as well. Because a lot of times, I know all of us have had this experience, you order something and then something different comes. So we quality control and authenticate our sneakers. So you can just look at the type of product you want and the size and the price and click buy without having to worry about all the messy marketplace issues in the back end, because GOAT will handle all those messy marketplace problems for you so that it looks like a retail experience to our consumers. I mean, honestly, some of our consumers don't even know we're a marketplace, because it's just like a retail buying experience. I'm going to a store, I want my size 10, I click buy and I'm going to get the product. And that's exactly how we treat our buyers on GOAT and our customers. And so we've just hidden all that messiness behind the scenes to create a frictionless experience.

Jessica: Tell me more about the world of people who collect rare shoes and people who are super into sneakers, because this is a mystery to me, and I think you too,Carolynn, right?

Carolynn: Yes.

Eddy: So there are whole swaths of sneaker enthusiasts out there. You have from the hardcore very passionate collector who seeks to find the rarest sneaker possible. And I don't know if you've seen in front of sneaker shops, sometimes there's lines outside of the stores on Saturday mornings, for example, and they're waiting for that exclusive limited edition pair of sneakers. In the sneaker category, you have a lot of your mass market sneakers that you can just go to any Foot Locker any day of the week to go buy. But you also have your limited edition pairs, and some are very, very limited edition. Some sneakers aren't even released. There are sample pairs where the designer or manufacturer, let's say Nike, is doing a collaboration with an artist or a basketball player and they create sample pairs so that the artist can try them out to see how they feel, how they look.

And those unreleased pairs go for thousands of dollars because they're just so rare. So there's this collector mentality about sneakers. There's an art mentality about sneakers as well, because sneakers sometimes can be so rare and unique, and it's an expression of yourself, just like for some women it's the handbag, for some men it's the sneaker, right? You can wear black top, jeans, but you can accessorize your sneaker. And as the world has become more casual, I mean, it's funny, I go to these industry events or VC events where 10 years ago when we did Grub with Us, you would have to wear black shoes and slacks to go to VC conferences. Now everyone's-

Jessica: Not at YC.

Eddy: There we go. But now everyone's rocking the latest pair of sneakers and jeans because the world has become a lot more casual. And I think one, the kids are getting much more fashion forward, and two, the world is getting more casual, that's created a huge market for us. Because again, when I was in high school, for example, I could wear the same pair of sneakers to school every single day of the week and it'd be fine. But now kids want to accessorize. They want to mix and match. And GOAT allows them to do that because we don't just sell this year's styles. We sell styles from 1985 to now. We sell luxury, we sell affordable, we sell new, we sell you. So kids, they really like to mix and match items. They'll wear a vintage top with a new pair of jeans with a retro sneaker.

Jessica: Where are they getting the money to buy all these things?

Eddy: Well, I'm sure you're seeing with your kids, kids are so much more entrepreneurial these days. What they're doing, I mentioned those lines at the sneaker shops, they will buy two pairs, one to resell on a platform like GOAT and one to wear.

Jessica: For the average sneaker collector who's not a celebrity and not super wealthy if they're not doing the resell thing, which you just described. But let's say they just really love to collect sneakers. Are they in boxes in their closet? Are they displayed on shelves? Because they're not wearing them, right?

Eddy: Most of our customers are wearing them. People just appreciate nicer looking products and things that speak to them in this day and age. So they are buying to where, I mean for myself, for example, I rarely don't wear the sneakers I buy. I have five that I don't wear, but the other 95% of my sneaker collection I wear because I want to express myself.

Jessica: What's your most prized sneaker that you don't wear? Throw us a bone here.

Eddy: Well, my most prized sneaker, I would say is, so Nike did this collaboration with an American artist called Tom Sachs, and he's created Space Expedition, Mars expedition projects, and he created a sneaker with Nike called the Nike Mars Yard. It took fabric from his exhibits and created just a few hundred pairs of these sneakers. And so it's a sneaker I've always really enjoyed. And so that's definitely my favorite one.

Jessica: That's pretty cool, but you don't wear it?

Eddy: I do wear it. I actually bought them on GOAT. I bought them used because the price for this sneaker new is about \$6,000.

Carolynn: Oh, goodness.

Eddy: So I bought them used because I just wanted to have them.

Carolynn: Well, that's what I was going to ask you. I read that you have GOAT Clean, which is refurbished sneakers. That's so cool.

Eddy: That's exactly the program that the Mars Yards were part of the GOAT Clean program. Most people don't want to wear a stinky, dirty pair of shoes.

Jessica: I throw my son's Nikes out because they stink.

Eddy: Yeah. There are collector edition sneakers where if it's just lightly worn and we can help really touch it up, take the gum off the soles, deodorize the sneaker, wash the insoles, we can make it a like new sneaker where the average consumer is like, Hey, wow, it's something that I've always wanted. It's 50% off of the new price. So yeah, it's at my price point and let me go buy it. So the GOAT Clean program has been great for allowing people to access sneakers that they wouldn't have otherwise.

Carolynn: Do you guys sell any of your own inventory? Do you carry any of your own inventories? Is it all third party?

Eddy: Very little. I mean, so what we do is we take returns, so we have some inventory that accounts back as returns. The awesome thing about GOAT is if you notice our site, we actually built a brand around the marketplace. There's a lot of marketplaces out there that are kind of like soulless horizontal marketplaces. But for GOAT, if you look on the site I mentioned it has that retail feel because we've actually thought really hard to put a brand on top of our marketplace so that our customers just have passion when they purchase from us. And what's been an amazing outcome from that is that it's not just third party sellers anymore. Brands have come to us to say, 'Hey, GOAT, I really like your customer. I really like your app in terms of your brand, so we want to sell on you as well'.

So Versace a luxury company, they were launching the sneaker and they were just like, Hey, we want to launch and co-launch this sneaker with you on your site because we have the demographic where we have kids who are willing to spend 3, 4, 5, \$600 on a pair of sneakers. And Versace is like, that's exactly our target demographic. Someone that is willing to pay that kind of money for a sneaker, it's our future customer. And Versace would never go to eBay, for example, to do this kind of brand dilutive for. But because we built our brand, Versace came to us to say, let's launch on your site. And they actually launched in three locations for that chain reaction sneaker. They launched on their website, in their Soho store and on Gov.com.

Jessica: So huge.

Carolynn: Yeah.

Jessica: It actually makes a ton of sense though. If you think about Versace's normal demographic, they're not sneaker wares, right? But if you want to go for the younger Versace customer, you would do. Exactly.

Eddy: Exactly. And we've actually had a lot of success working with luxury brands because this is their future customer. People who are fashion forward, care about and really live and breathe fashion, they graduate towards luxury in the future.

Jessica: I was just thinking, you mentioned handbags and you have all these amazing authenticators, and I appreciate that their expertise is sneakers, but maybe there's already a bunch of people doing authentication of handbags, but I would think that would be great, we want some handbags. That's what Carolynn and I want to buy.

Eddy: Yeah, for sure. I mean, we're always looking to expand. One of our core values is focus, and it's something that we actually learned from the Grub with Us experience. Jessica, I don't know if you remember, but again, we didn't have much product market fit yet, and we started in Chicago. We opened up in San Francisco when we were out there, but then we just kept opening up in city after city after city when honestly, we didn't even get one city right yet. And when one thing breaks, everything breaks. And when you are in 20 cities around the country and everything's broken and you don't have a small team, it just doesn't work. And so when we started to go, we were just like, let's really get deep into sneakers. Do it well, don't get tempted by extra GMV by going into all these places.

Let's go deep and broad and figure it out and be the most dominant force in sneakers before we expand categories. That's why we stayed in sneakers for so long until we said, okay, now we have the permission to expand into apparel because obviously you can't just wear sneakers, you need the whole outfit as well. So let's go into apparel, and we're honestly at just the tip of our apparel journey. There's such a vast array of apparel and the collection from vintage to heritage collections all over archival collections in terms of apparel to the streetwear that you see a lot of the kids wearing now. It's just so big and deep that we're going to say, we're going to focus there for a little bit before we open up into other categories.

Carolynn: Quick question, what's the difference between heritage and vintage?

Eddy: Well, I would say heritage and archival. You have your couture products, you have your archival products that are just really iconic, one of one pieces, for example. And then you have your adventure there, just like your concert T-shirt that you had.

Carolynn: That actually makes a lot of sense. That explanation makes sense.

Jessica: Carolynn, what was your first pair of very exciting sneakers? Because I remember mine.

Carolynn: Oh, I don't think I to this day own any very exciting sneakers. So that's a no. Rough question to try to answer.

Eddy: We're going to change that after this call. There's a fight for that.

Carolynn: Oh, is there? Okay. Maybe I don't know my sneaker personality, I am kind of boring when it comes to that stuff.

Eddy: Exactly.

Jessica: You won't be afterpay going on GOAT.

Carolynn: On

Jessica: I remember I was at a dance at my high school, and I had on white leather Nikes with a red swoosh and a royal blue stripe on the sole. I know you know what I'm talking about. And I thought I was the coolest thing in the whole world. I warmed to a dance with guest pants, Levi. Guest pants.

Carolynn: Oh, I definitely had guest jeans. I mean, come on.

Eddy: Well, I'll tell you one of my favorite sneakers. It's part of the GOAT experience because we launched GOAT officially to the world in July of 2015. And it's not like we had traction from day one, we didn't. And I remember there was a day, it was late September, so three months after we launched, it was like 6:00 PM, all of us were in the office still working. It was just like six of us. We didn't sell a single pair of sneakers that entire day. It was so sad. And so I secretly created a guest account and I bought this blue pair of New Balances. I still remember the pair. And so that I could tell the team, Hey guys, we sold something today. So it was still that bad.

Jessica: That is pathetic.

Carolynn: That's really nice. That's nice. That is sweet.

Eddy: And so it was just crazy because talking about product market fit, it was wild. We still didn't have product market fit. When we launched GOAT, it took a while, and our true inflection point was 2015 Black Friday. So five, six months after we launched, when San our head of marketing was like, Hey guys, let's do a Black Friday promo. And honestly, we had tens of customers a day at that point. No one. We were nobody, right? And so we were just like, yeah, sure, try whatever you want. It's not like anyone's going to see it, just do the promo.

And so he was just like, how about we discount the hottest styles of the year to retail price? So frequently sneakers on our app will go for more than retail price. So that year was the Yeezy launch, Kanye Kanye, west Yeezy Line launched that year. So it was the Yeezy Turtle Doves, the Pirate Blacks Supreme had a collaboration with Jordan as well. The Supreme Jordan Fives. They were going for \$400 to \$600 on GOAT, but the retail price was like \$200 ish. So we decided to buy, honestly, just like 50 pairs of these sneakers to discount to retail price as a Black Friday promo, just to try to spur up

demand. And we sent it out to the publications in our industry and not thinking anything of it.

This was like a week before Black Friday. And for whatever reason, every single publication wrote about our Black Friday promo, but they blew it out of proportion. It wasn't just like, Hey, GOATs having a Black Friday sale. They were just like, GOAT has a restock of Yeezy's and Jordan's. Go to GOAT on Black Friday because they're reselling products that retail price. And literally we had tens of users, and from the week before Black Friday to Black Friday, we gained a hundred thousand users.

Oh my gosh.

Eddy: In that timeframe,

Jessica: Oh my God.

Eddy: It was chaos because Jessica, as you can imagine, we're building a scrappy startup, I was one of the two backend developers working on this. We didn't optimize any database queries, we didn't cash any web pages, we didn't do any of the scaling stuff. So our site broke every single day and we were just up all night trying to fix these problems. But of course, the day of Black Friday, when we do this drop where everyone's thinking, we have thousands of pairs, we have 50 pairs. So we released 50 pairs into the wild and just madness ensued. The app just didn't work for the whole day, and we got so many negative customer service emails, our Instagram, they were just cursing out the company, cursing me out by name. They really, honestly, I have a screenshot of the comment section on Instagram. It was like, F Eddy Lou. I'm going to write a bad review, blah, blah, blah. It was madness.

And it was honestly a bad experience. And people just emailed us saying, Hey, I skipped school for this release. I skipped work. My God, every excuse under the sun. And we were just so sad. And I still remember it was like 4:00 PM that day. None of us had eaten yet. We were just trying to fix all these problems. And Greg Bennelli, who was our partner at Upfront at the time who was on our board, texted me. He was just like, Hey, is everything okay? And I called him and he was just like, I'm looking on Twitter, it just seems like a mess. I was like, yeah, nothing's okay. I think we're going to have to pivot again because clearly everyone hates us. He said something I'll always remember, he was just honestly, at your stage in your company's life, it's better to be hated than unknown.

It was so true. Makes sense. While that Black Friday was so painful in the moment, I would've done it a thousand times over because it was our true inflection point. We never looked back from that point because while people had a bad experience in that moment, they were playing with the app. So they were just like, oh, I get it. This company authenticates sneakers, so I won't get fakes. I can trust them with buying products so that I'm going to get exactly what is described. And so from on, people gave us a shot. Obviously if we tried a stunt like that today, we wouldn't be able to recover, right? Because we're tricking the audience. But back then they gave us the pass because

we were just a small startup that was doing this promo that didn't work out, but they started to understand our value proposition.

Jessica: People are more sympathetic towards startups. If you stumble, they'll cut you a break every once in a while. Did those a hundred thousand users stay and buy some things going forward?

Eddy: Exactly. And that's when we were just like, wow, we have true product market fit. I mean, we were doing our authentication and warehousing and corporate just programming and sales and marketing in a 2000 square foot office building. And suddenly the delivery trucks, the mail trucks that would come to our building just were just filled with only our product. And the drivers would complain to us. We just didn't have any room in our office. We had to throw the boxes into the back alley, and our neighbors hated us. They complained every single day. They're just like, what is all this trash that you're throwing out here? We're just like, we're so sorry. We're trying to find more space.

Jessica: These are the boxes that the sellers are shipping them to you to authenticate, and you put them in a GOAT box.

Eddy: And so we're throwing the other boxes out, and we had to stop all our marketing. We had to stop any sort of social media promotions. We had to keep hiring. And people asked me as a consumer company, this is only for consumer companies, when do you know you have true product market fit? And I've talked to other fast growing consumer companies. It's when you're just barely trying to keep your head above water and doing your best possible thing to just tread and just keep alive while you have so much going on and so much volume that you have to do things like stop your marketing and just do unnatural things to try to maintain composure while you're order volume or whatever volume, the people signing up to your social media site or whatever, are just growing so fast that you're having to deal with other things like fraud and everything else.

And that's when you have true product market fit for a consumer company in my mind, as opposed to with Grub with Us when we're like, oh yeah, people are signing up. We have product market fit. But it was just like we never had to be like, oh my God, hold the horses. People are signing up and there's constant wait lists and such. So it was just such a formative time right after Black Friday. So yes, they stuck around. And what's funny is that some of those people that had horrible experiences for Black Friday, they applied to work at GOAT and they're employees to this day because they were just like, wow, this company has problems. I think I can help them fix it.

Jessica: No way. It turned into a recruiting bonanza too.

Eddy: Exactly. We still have some people to this day that said, I actually found out about GOAT through your Black Friday, and I thought I could help.

Carolynn: Well, you had 50 very happy customers from the Black Friday. Yes.

Eddy: Only 50.

Carolynn: Because 50 got retail price sneakers. They probably turned around and resold them on GOAT.

Eddy: Probably.

Carolynn: For a huge profit.

Jessica: I think there's more to the story though. I think Eddy, right? You have a Monday like Cyber Monday raffle or something.

Eddy: Yeah, don't bring up painful news, Jessica, please. It was just so sad because we had this huge debacle on Black Friday, but when we announced the publications a week before Black Friday, we told them we were going to do a drop for Black Friday and Cyber Monday. So again, we had 50 pairs allotted for a cyber Monday.

Jessica: You're screwed.

Eddy: Yeah, we were screwed because the same experience would've happened again. So what we did was we quickly told all the publications we're just like, Hey, we're actually going to change it into a raffle. We're so sorry. And again, silver lining, we got extra publicity now. Every publication had to say GOAT is changing their Cyber Monday campaign to a raffle, not a drop. And so we got double the publicity from that as well. So thankfully the raffle was a lot easier to manage, and we've been doing raffles for Black Friday ever since.

Jessica: But there's a twist to this though, that you must tell. Didn't some of those raffle winners turn out to be like some of your haters on social media?

Eddy: Yeah.

Jessica: I dug this up online.

Eddy: For sure. So I mean, we had people that were incessantly hating on us for the Black Friday campaign. And I mean obviously we always do randomized drawings. We hold high integrity standards, but for whatever reason, some of those haters did end up winning the raffle and then they became our biggest supporters. They were just like, no, GOAT is so legit, I was hating on them beforehand, look at my messages. But I actually won. And they became, honestly, our biggest supporters. They shouted from the rooftops about Go, and it goes to show how passionate of an audience our sneaker enthusiasts are. They'll love you and shop from the rooftops or they'll hate you and shop from the rooftops. I'd rather them love us. So we've tried to be in partnership with our buyers and sellers ever since.

Jessica: I have in my notes, scrappiness, signs of flexibility. And like I was saying at the beginning, you guys were scrappy, but I think scrappiness does mean you're flexible minded and

you come up with ways to solve problems where some people would be paralyzed with such a disaster as the Black Friday disaster. You found a way to make lemonade.

Eddy: It's honestly been such a wild journey from the cream puff days all the way until now. And now we have 60 million members. We ship to 170 countries. We have 22 facilities around the world. We have just a million sellers, for example. We're just so lucky and grateful that we've had this whole journey, but you just have to be scrappy as a startup founder. I mean, there's no guarantee of success. And so the only way to succeed potentially is to be able to live with the ups and downs. And thankfully Daishin and I have been able to do that.

Jessica: I know we're going to wrap up pretty soon. I have a few random questions in my notes. First of all, it seemed like as I was listening to a podcast that you were on and doing some research, it seems like New Balance shoes are super popular. Is that right?

Eddy: Now there is a big new balance kick. I mean, year over year new Balance on our app has increased over a hundred percent. And it's the new rage. I mean, even things like Solomon, we were talking about how PJ wears Solomon. There are certain Solomon sneakers that have grown a lot in popularity on our site. So definitely there are big themes. The running theme is in and people are wearing Hoka, New Balance, Solomon.

Jessica: I mean New Balance were so old school. That was what the first runners wore in the seventies when I was growing up. So I'm so surprised that they're fashionable.

Carolynn: I have New Balance that have glitter on them, so I'm not surprised. I mean, I have glittery New Balance. They went a little. They went very fashion. Love that. And they're sold in Madewell and stuff. They're cute. Yeah, I am not surprised at all that New Balance is popular.

Jessica: So I needed to get that out of the way. I also want to know, is there a story behind, how hard was it to get goat.com

Eddy: For their domain, obviously it is not easy. So when we started GOAT, Greg was on our board, he didn't like the name. He thought, because now the acronym is pretty prevalent. It stands for Greatest of All Time. When we started GOAT, we wanted to call ourselves GOAT because Michael Jordan, of course, arguably is the GOAT of basketball, and Jordan's sell a lot of sneakers.

So it's kind of a hidden reference to Air Jordans. But in a board meeting, we're just like, "We are going to call ourselves GOAT." And he was like, "I don't really like the name. I don't like the connotation of what a GOAT stands for." Because he was just thinking about the animal. And we're just like, "No, it actually stands for Michael Jordan". And it's funny, mid board meeting, he went to Twitter and wrote, when I say the word GOAT, all caps, what does this mean to you? And in the meeting people started to tweet him back to say, Michael Jordan, Muhammad, Ali, Michael Phelps, all the GOATs of their sports. And by the end of our board meeting, Greg was like, okay, I get the name. You can call yourself GOAT. So that happened.

Jessica: That's funny.

Eddy: But of course we couldn't afford goat.com. So another hidden reference to Michael Jordan. Our first domain was a ten dollar GoDaddy domain named airgoat.com, for Air Jordan. We just call ourselves airgoat.com. And we were primarily app based, so we didn't really care as much about the domain. So we were Air GOAT for a couple years. When we raised our series B with Ryan Sweeney in Excel, one of the first things he said was, Hey, I'm giving you a good healthy series B. If you want to be a serious business, you need to get goat.com. So that's when I went out there and sought out. And it's funny, it was this guy that really loved animals. So he had goat.com, skunk.com, beaver.com, all these animals. And I was like, I'd like to buy goat.com from you. And we ended up working out a deal.

Jessica: Was it a complicated, expensive deal?

Eddy: Well, so it's funny, I structured it in a way of just thinking about startup life. I was just like, Hey, in five or six years we're either going to be very successful or we're going to be out of business. So I told the guy, how about I lease goat.com from you for six years and I'm going to pay you \$2,000 a month for six years, and at year six, I want the option to buy it outright. And he agreed. And so thankfully GOAT became something and we were able to divide the domain. But just like having optionality, right, because cash is so precious.

Jessica: Yeah. You are in LA and I remember you guys moved to LA pretty early on right after YC when LA was not at all a startup-y scene. What's the difference between doing a startup in LA and San Francisco and why did you go there?

Eddy: So we actually both grew up in LA and we built a lot of networks in LA when we were growing up and living here. And we did Y Combinator in San Francisco. And SF is great. If I were a SaaS company for example, I would 1000% base my company in SF. But for us, we were a consumer company and we were just like, Hey, operations labor, even customer service labor programmers, they're all just much more expensive in San Francisco. And it's not necessarily where our customers are. Our customers are everywhere in the world, so why don't we go back to LA where we have strong networks. We can hire people, the smartest people we know quickly and have a lower cost of labor. So let's move there to really build this business since we're a consumer based company. And so that's what we did.

Jessica: And has it changed since you were down there in 2011?

Eddy: It's definitely changed. I mean, the ecosystem is a lot stronger. Of course they still skew, I think more consumer entertainment, marketing, things like that. But I think thankfully there's companies like Snapchat here, there's other big companies now that are anchors. And for us, being a sneaker company, it's perfect because the epicenters of sneaker culture in the US are New York and Los Angeles. And I think we've been able to be fortunate to be here to really work with a lot of the talent that comes through LA and just a lot of the resources that we have.

Jessica: That was my last question. Do you get to deal with a lot of celebrities and do you have any stories?

Eddy: We do work with a whole bunch of celebrities. Thankfully a bunch of them buy on our platform. I'll tell you a story about some tech celebrities since it's a tech-focused thing. But early on, early 2016, so right after Black Friday, we started to see purchases. There were these two people that were buying, in the span of a week, they bought a bunch of Yeezys and they were like a thousand to \$3,000 sneakers. And instantly we knew it was fraud, right? Because usually when someone's buying that much in a short term, especially the most expensive sneakers, we were just like, Hey, it's fraudulent. Daishin was one of our two fraud analysts at the time, so he was just like, it's fraud. But we looked at the emails and it was jack@twitter.com and adam@twitter.com. So Adam Bain was the COO at Twitter at the time.

Jack Dorsey was the CEO, and we're like, it's probably fraud. They're just using fake email addresses to get their product, but what if they're real? Wouldn't that be cool that some of the people we looked up to in tech were buying sneakers from us? So as a fraud check mostly, I emailed jack@twitter.com, adam@twitter.com, and I was just like, Hey guys, we're big fans. Thanks so much for purchasing on GOAT. Please let us know if you have any questions. And honestly, we were just hoping for a response either like, 'Hey, that's not me. Cancel that order' or, 'yes, that's me.' And so what was amazing was that Adam responded and he was just like, Hey, love your site. I'm actually looking for this very specific pair of sneakers that you don't have on your site. Would love some help with that. And so being scrappy, we scoured the internet for this exact pair.

We didn't have many sellers still. We were less than a year old, so we had a lot of holes in inventory. We scoured the internet. We bought this exact pair. And again, it was expensive. We didn't have much money left, but we were just like, please, Adam. In the back of our heads we're like, we're going to buy this shoe, we're going to list it on our site. We hope you buy. So we secretly bought this pair of shoes. We listed it under a random seller again, and I emailed Adam a few days later and I was like, Hey, Adam, what a coincidence. A random seller just out of the blue listed that exact same pair that you were requesting three days after you asked for it.

Jessica: What an amazing coincidence.

Eddy: And he responded, amazing. And he actually bought it and he was just like, Hey, next time you're in San Francisco, come meet Jack and I, would love to chat. And again, being scrappy entrepreneurs, we were based in LA, Daishin and I made up a trip. We were just like, Hey again, what a coincidence. We're going to be in San Francisco next week. We can hand deliver these sneakers to you because we actually didn't want to ship them. They were kind of expensive. And so we were just like, we're going to hand deliver these sneakers to you. And he was like, okay, cool. He didn't think anything of it. And so we went to Twitter, we met the crew, and we delivered a sneaker. As he said, how much he loved the site. He was actually having a competition with Jack on who could wear the most stylish sneakers, and that's why they were buying a bunch of sneakers.

And so I never told Adam that story. Fast forward a couple years, he decided to leave Twitter and the first thing I did was I contacted him because he became a friend of the company and I said, Hey Adam, I've had such a great experience with you. I'd love for you to join our board. And so he became our first independent director on our board. He's still a director to this day, but what's crazy is that I never told him the story of how we kind of met him and jerry-rigged everything until a few years ago, when we were at an investor conference, he was doing a fireside chat with me. He was interviewing me and I told the story about what we did on stage at the conference that he was laughing and blown away just like, I can't believe you guys did that.

Jessica: I love that story and I love that he didn't know about it for years. And that just shows sort of what founders, the moves they have to make sometimes and really go the extra mile.

Eddy: Again, wild journeys. Every startup has these stories, but it's so fun to just see how the journey progressed to get to where you are.

Jessica: It's amazing.Carolynn, do you have any last minute questions?

Carolynn: I do have to know, what happened to the cream puff stores ultimately?

Eddy: We sold one of them. We closed down the rest and we were in debt for honestly a long time because we promised ourselves that we would just pay off the debt over time as we just kept working. And thankfully Daishin and I are debt-free right now to this day, and it's something we were debt-free thankfully a few years ago. But like Daisn said, his mom is more proud about that fact than him being successful.

Jessica: Oh parents. I had so much fun catching up with you. Can Carolynn and I rely on you to give us advice about what sneakers we need to buy for our children. My son's birthday is coming up and I think I need some advice on Air Jordans.

Eddy: We are here.

Jessica: Okay. I'm going to reach out. I'll reach you up offline. Thank you so much for coming on the show and telling us all about the old days and the new and exciting days, and congrats on the success of GOAT. I'm so happy for you guys. And give Daishin my best.

Eddy: Will do. Thanks Carolynn.Thanks Jessica.

Carolynn: Great to see you, Eddy. All right. Thanks so much for coming.

Eddy: Bye

Carolynn: Bye-bye.

Eddy: Oh, that was so much fun catching up with Eddy.

Carolynn: Yeah, it was fun.

Jessica: I cannot believe how long it's been since I've seen him. It really has been like a decade.

Carolynn: Yeah, I guess it's surprising that you guys haven't managed to connect for a long time.

Jessica: I know they're doing so well. GOAT is unbelievable how well it's doing.

Carolynn: When he was talking about product market fit, what he was saying there completely reminded me of what Adora was saying about Homejoy and how they'd opened up all of these different cities and then it ended up being a total disaster because they hadn't really done the work to make the product great and got product market fit before they expanded.

Jessica: I thought the exact same thing, When he was saying we were expanding too fast into other cities and we hadn't nailed San Francisco.

Carolynn: Yeah.

Jessica: I thought Homejoy did the same thing.

Carolynn: Exactly.

Jessica: It's a lesson.

Carolynn: It was almost uncanny how they chose the same words too. So it was clear that this is just not a universal experience, but something that startups just across the board have to struggle with.

Jessica: We learned a lot about the sneaker industry too, and the whole authentication process. You can tell by the smell.

Carolynn: I want to know what the test is. I'd like to see the test, the five page test.

Jessica: The five page test.

Carolynn: I'd like to know some questions.

Jessica: I love it.

Carolynn: I can't believe it.

Jessica: It'd be really interesting to meet at a dinner party, someone who's like, yes, my profession is sneaker authentication. That's what I do all day every day, and I would have a hundred questions for that person. And what an interesting career.

Carolynn: I know. Me too. I wanted to ask so many more questions about fraud and authentication, but then I worried I'm working too small a corner of the room.

Right. But that is a really interesting topic and it does, and we mentioned handbags, but honestly just authenticating any kind of luxury good is probably something we could talk about for hours. Just like, yeah, there's probably so many interesting anecdotes and tips and tricks and all that stuff.

Jessica: I think you and I have a homework assignment, which is buying a pair of sneakers for ourselves on GOAT, because I have to admit, I've never used it and I think we should. I think it'll be one of those things where we do it and we're going to be happy about it.

Carolynn: No, I am all about buying things. I think I will not buy used sneakers. I don't think that there's a kind that I'm so into that I would wear that. I would buy used sneakers, so it's more like is there some kind of special sneaker that I would buy new on GOAT that I just would never run across in my normal shopping that's more special. That would be cool to buy on GOAT. That's the experience I'm looking for.

Jessica: All right, well I bet we can find it on GOAT. I'm so psyched.

Carolynn: All right.

Jessica: This is going to be a good episode.

Carolynn: Sounds great. See you soon. Bye.

Jessica: Okay, bye.